2 ACCOUNTS OF 'NOT FOR PROFIT' CONCERNS

(Total Marks : 12) **(Marks with Option : 16)**

MEMORY CHART

1

- It is formed for promotion of arts, culture, education, music, dance, sports, etc.

NOT FOR PROFIT CONCERN

Meaning:

- The organisations which are not engaged in trading activities but established with a service motive are known as 'Not for Profit Concerns'.

Examples:

(a) Educational institutes: Schools, Colleges, Universities, Libraries, Trusts, etc.
(b) Club or Associations: Rotary Club, Lions Club, etc.
(c) Medical: Hospitals, Nursing Homes, Blood banks, etc.

2

ACCOUNTS TO BE OPENED

Given:
(a) Opening Balance Sheet
(b) Receipt and Payment Account

To Prepare:
(a) Opening Balance Sheet (if Capital Fund not given)
(b) Income and Expenditure Account
(c) Closing Balance Sheet

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3

FORMATS

(A) FORMAT OF RECEIPTS AND PAYMENTS A/C

Dr. **Receipts and Payments Account for the year ended 31st March _____** **Cr.**

Receipts	Amt. (₹)	Payments	Amt. (₹)
To Balance b/d		By Balance b/d (Overdraft)	XX
Cash in Hand	XX	By Salaries	XX
Cash at Bank	XX	By Rent	XX
To Subscriptions		By Printing and Stationery	XX
Previous year	XX	By Government Bond	XX
Current year	XX	By Prizes	XX
Subsequent year	XX	By Electricity Charges	XX
To Legacy	XX	By Purchase of Sports Materials	XX
To Entrance Fees	XX	By Telephone Charges	XX
To Life membership fees	XX	By Repairs and Maintenance	XX
To Interest on Investment	XX	By Office Expenses	XX
To Sale of old Newspapers	XX	By Gardening	XX
To Tournament Fund	XX	By Insurance Premium	XX
To Donations for Prize Fund	XX	By Purchase of Medicines	XX
To Grant from Government	XX	By Purchase of Investment	XX
To Hire Rent Hall	XX	By Purchase of Assets & Equipments	XX
To Tennis Court Receipts	XX	By Misc. Expenses	XX
To Misc. Receipts.	XX	By **Balance c/d**	
To Sale of Assets	XX	Cash at Bank	XX
To Balance c/d (Bank overdraft)	XX	Cash in Hand	XX
	XXX		XXX

(B) FORMAT OF INCOME AND EXPENDITURE A/C

Dr. **Income and Expenditure Account for the year ended 31st March _____** **Cr.**

Expenditure	Amt. (₹)	Income	Amt. (₹)
To Printing & Stationery	XX	By Subscriptions	XX
To Postage	XX	By Interest on Investments	XX
To Salaries	XX	By Grant from Government	XX
To Telephone Charges	XX	By Hire of Hall	XX
To Electricity Charges	XX	By Misc. Receipts	XX
To Newspapers and Periodicals	XX	By Proceeds from Charity Show	XX
To Insurance Premium	XX	By Subscription of Annual dinner	XX
To Purchase of Medicines	XX	By Proceeds from Entertainments	XX
To Repairs and Maintenance	XX	By Excess of Expenditure over Income (Deficit)	XX
To Gardening	XX		
To Wages	XX		
To Misc. Expenses	XX		
To Refreshment Expenses	XX		
To Depreciation of Assets	XX		
To Bad Debts	XX		
To Magazine Expenses	XX		
To Medicines	XX		
To Loss on Sale of Assets	XX		
To Excess of Income over Expenditure (Surplus)	XX		
	XXX		XXXX

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(C) FORMAT OF BALANCE SHEET

Balance Sheet as on 31st March _____.

Liabilities	Amt. (₹)	Amt. (₹)	Assets	Amt. (₹)	Amt. (₹)
Capital Fund	XX		Cash in Hand		XX
Add: Entrance Fees	XX		Cash at Bank		XX
Add: Life Membership Fees	XX		Debtors		XX
Add: Legacies	XX		Stock of Stationery		XX
Add: Surplus	XX		Stock of Drugs		XX
Less : Deficit	XX	XXX	Investment		XX
Building Funds		XX	Books		XX
Tournaments Fund		XX	Equipments		XX
Charity Fund		XX	Sports Material		XX
Loan from others		XX	Furniture		XX
Sundry Creditors		XX	Vehicles		XX
Outstanding Expenses		XX	Building		XX
Income Received in advance		XX	Grounds		XX
			Outstanding Income		XX
			Prepaid Expenses		XX
		XXX			XXX

4 TREATMENT OF SPECIAL ITEMS

(a) Subscription: Income and Expenditure A/c – Income Side (Cr.)

(b) Life Membership Fees: Balance Sheet – Liability side – Add to Capital Fund.

(c) Entrance Fees/Admission Fees: Income and Expenditure A/c – Income Side (Cr.)
(If no information is given)

(d) Donations:
- Specific/Special Donations → Balance Sheet – Liability Side
- General Donations → Income and Expenditure Account – Income Side (Cr.)

(e) Government Grant:
- Specific information given → Balance Sheet – Liability Side (Add to specific fund).
- No specific information given → Income and Expenditure Account – Income Side (Cr.)

(f) Capital Fund: Balance Sheet – Liability side.

(g) Life Membership Fees and Legacies: Balance Sheet – Liability Side
(Add to Capital fund).

(h) Honorarium: Income and Expenditure Account – Expenditure Side (Dr.)

(i) Sale of Assets:
- Sale of Assets → Balance Sheet – Assets side – Less **Book Value** from Fixed Assets
- Profit on sale of assets → Income and Expenditure Account – Income Side (Cr.)
- Loos on sale of assets → Income and Expenditure Account – Expenditure Side (Dr.)

(j) Stationery:

	Opening Stock of Stationery (Opening Balance)	XX
(+)	Purchase of Stationery (Receipts and Payments Account)	XX
		XX
(–)	Closing Stock of Stationery (Adjustment)	XX
	Shown in Income and Expenditure A/c (Dr. Side)	XX

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